

matters about which the ideas of the multitude may have swung too far or not far enough right now. If he is thinking of participating in the affected companies, the wise investor must determine which are fundamental trends that will go further, and which are fads of the moment.

These investment fads and misinterpretations of facts may run for several months or several years. In the long run, however, realities not only terminate them, but frequently, for a time, cause the affected stocks to go too far in the opposite direction. The ability to see through some majority opinions to find what facts are really there is a trait that can bring rich rewards in the field of common stocks. It is not easy to develop, however, for the composite opinion of those with whom we associate is a powerful influence upon the minds of us all. There is one factor which all of us can recognize, however, and which can help powerfully in not just following the crowd. This is realization that the financial community is usually slow to recognize a fundamentally changed condition, unless a big name or a colorful single event is publicly associated with that change. The ABC Company's shares have been selling at a very low price, in spite of the attractiveness of its industry, because it has been badly managed. If a widely known man is put in as the new president, the shares will usually not only respond at once, but will probably over-respond. This is because the time it takes to bring about basic improvement will probably be overlooked in the first enthusiasm. However, if the change to a superb management comes from the brilliance of heretofore little-known executives, months or years may go by during which the company will still have poor financial reputation and sell at a low ratio to earnings. Recognizing such situations—prior to the price spurt that will inevitably accompany the financial community's correction of its appraisal—is one of the first and simplest ways in which the fledgling investor can practice thinking for himself rather than following the crowd.